

EUR Money Markets: Stirred, not shaken

The Iran conflict and energy price surge have shaken ECB rate expectations, causing market uncertainty and shifts to safer assets. Money and funding markets show limited stress, but as overall activity focuses more on very short dates, longer Euribor spreads, in particular, have seen higher volatility



Euro rates have shown resilience in the face of the Middle East conflict and higher inflation

Oil price spike pushes ECB out of its 'good place'

The short ends of the interest rate curves have been the most impacted by the Iran conflict and the energy price spike, as fears of a 2022 repeat swept through the market. A rate-cutting bias has morphed into expectations of as many as three European Central Bank (ECB) rate hikes by the end of the year. While a ceasefire has calmed the situation, the ECB signalling a readiness to act on any signs of second-round effects taking hold, keeps the possibility of a first rate hike as early as April still in play.

We think that the additional information that the ECB will have at that point will be rather limited, arguing for a wait at least until June. If we follow our base case scenario, we think the ECB will continue to signal vigilance, but will eventually manage to keep rates steady. But we also have to acknowledge that at this stage, ECB policymaking is more about managing expectations. For now, the picture presented by longer-term inflation swaps remains relatively benign. But this can still change as the crisis evolves.

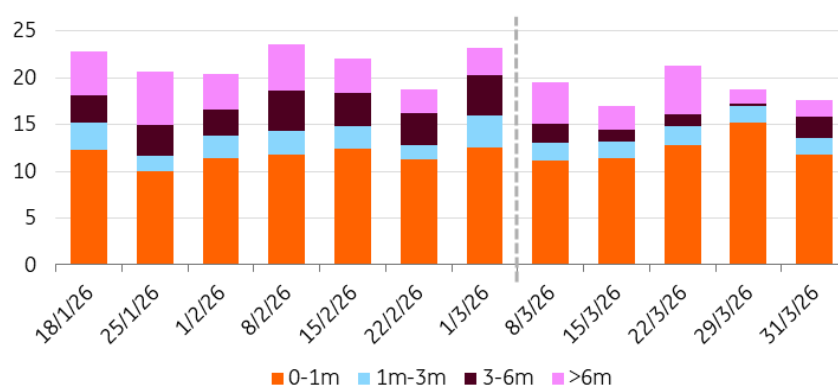
Uncertainty leaves its marks in money markets, but no signs of stress

The overall uncertainty and risk aversion in the market have also left their mark on money markets. We have seen the 2y German Schatz start to outperform more noticeably versus swaps as the conflict escalated further. That is a classic sign of flight-to-quality, although there was also a directional component to it over the past month.

There has been a shift to shorter maturities amid the uncertainty around the crisis and the ECB's policy response. Signs of actual strains in money markets and the functioning of funding markets, however, remain limited.

In repo markets, the overnight GC pooling rates had dipped back to the ECB deposit facility rate for the latter part of March, having previously sat around 1-2bp above. The quarter-end itself, however, appeared more driven by liquidity demand this time around, as the rate did not show the usual spike lower that we had observed around previous month and quarter-ends. German government GC is now back to basically flat with the depo rate again after quarter-end, after having dipped to slightly below before. Italian GC briefly widened towards 5bp above the depo rate at the beginning of March and again at the start of April, but for the most part it sat around 2bp, which is even at the low end of the range just prior to the conflict.

European banks' weekly CP/CD issuance volumes shifted to shorter tenors



Source: CMD, ING

In unsecured markets, we have also observed that for commercial paper, volumes from banks shifted to predominantly tenors of 1m and shorter, reflecting the change in investor appetite.

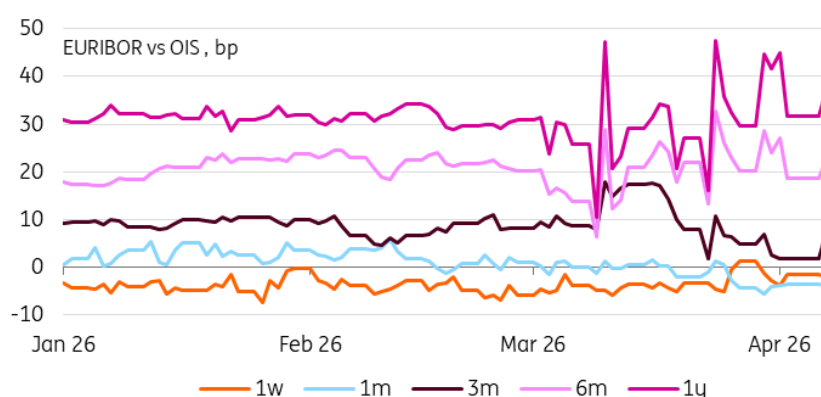
Ahead of quarter-end, the 1m Euribor fixing dropped even more noticeably below ESTR OIS, reflecting low desire to take on funding that does not add to fulfilling regulatory ratios but only expands the balance sheet.

There was a brief widening of the 3m Euribor OIS spot spread, but this was more related to the technicalities of the fixing and its fallback calculations rather than a change in credit perceptions. The spike reversed quickly, and the spot spread even reached its lowest print since the end of 2024.

However, the volatility in the spread over OIS is most striking in the longer tenors, where the 12m Euribor OIS spread has been anywhere from 10bp to 45bp since the onset of the conflict. Prior, the spread had been hovering in a range of 30bp to 35bp since last September.

Away from the spot fixings, FRA/OIS spreads briefly widened as an impact reaction, but also pared a good part of that widening. They do remain a tad wider by about a basis point, but one has to keep in mind that the FRA/OIS strip previously had shown a very gradual widening trend. This reflects the underlying ECB run-down of its balance sheet and the resulting decline in excess reserves in the banking system.

EURIBOR spread volatility in longer tenors



Source: Refinitiv, ING

To recap, Euribor fixings represent the rate at which banks can borrow in the unsecured money market. To ensure 'robustness' and 'representativeness', the calculation of the fixing is grounded to the extent possible in actual transaction data.

For that purpose, a hybrid methodology using a waterfall structure has been developed. At the first level, actual transactions are used to calculate the fixing. If a contributing bank does not have enough transactions to support this Level 1 calculation, it can resort to a Level 2 calculation that progressively employs anything from interpolation from adjacent tenors to using prior-day contributions alongside market adjustment factors.

The drawbacks, especially in more volatile times, become clear when looking at the transparent data that the benchmark administrator supplies with some lag. In February, for instance, a transaction volume of over €130bn underpinned the 1-week fixing. But in the tenors of 1m to 12m, volumes amounted to only €5bn to €10bn that month. This meant that for the 1-week, Level 1 calculations were used 65% of the time, while the 3m fixing saw Level type calculation using prior dates being employed in 70% of cases.

ECB liquidity recourse see no fundamental change amid geopolitical turmoil

Banks' actual recourse to the ECB liquidity operations has briefly spiked to a still modest €17bn, but

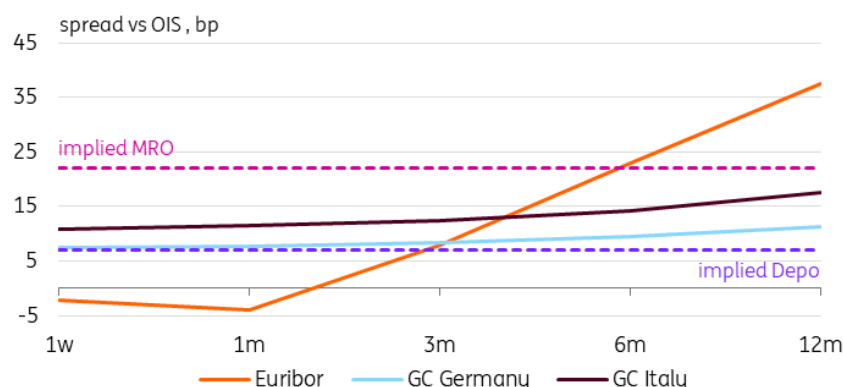
even this was more related to the quarter-end than anything else, and volumes subsequently returned to the €11bn area we have become accustomed to.

If the fallout from the war in the Middle East were to become more severe, there is also a scenario where the ECB might have to rethink its current balance sheet reduction on autopilot. For instance, a more forceful policy response in key rates could adversely impact European government bond spreads. In light of an uneven transmission of monetary policy, it could then be an option to at least pause the process of quantitative tightening.

For now, bond spreads have been relatively well-behaved. And while we have seen some widening on the back of spiking volatility, the overall levels remain not too far off from where last year ended. The hardest hit so far has been Italy, but even the 10y BTP spread over Bunds is currently only a bit more than 10bp above levels from last December following the more optimistic news out of the Mid East.

In a recent blog post looking at how banks have adjusted to the gradual decline of excess reserves, the ECB concluded that money markets were functioning smoothly and liquidity was redistributed efficiently even as a greater share of banks were operating closer to desired reserve levels. As that share is set to increase further, there will also be more upward pressure on funding rates. Eventually, this will also lead to a structural increase in the recourse to ECB liquidity operations, but for now, market funding remains mostly cheaper than going to the central bank.

Market funding still cheaper than the ECB



Source: Refinitiv, ING

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US Money Markets: Slow calm to steady state

With the Fed buying bills and bank reserves steady-to-rising, repo circumstances have slowly tamed. The effective funds rate remains elevated, though, and the war had pushed a small basis premium into the US dollar. Flows into money market funds remain, and bank deposit inflows have been strong. The prognosis is still for lower rates



Inflation expectations are keeping rates elevated, but longer term we do see rates coming down

Money markets and the Iran war – rates ultimately end up lower

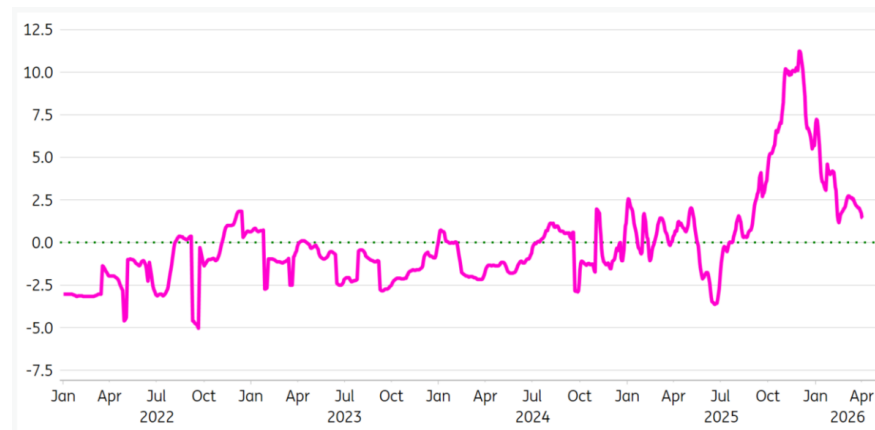
The Iran war manifested in a material elevation in short-term inflation expectations. The US 2y break-even (market inflation) rate is around 3.1%, and to hit that break-even average, there is the threat that actual inflation heads for 4%. Given that, the Federal Reserve is unlikely to cut rates. And the Fed could even come under pressure to hike rates to help face down rising inflation expectations.

On the assumption that the war winds down in the next couple of weeks, and the flow of vessels through the Strait of Hormuz shows a material pickup, our central view is that the Fed does not hike, and instead eventually cuts in the coming quarters. Taking all into consideration, our thinking

sees the funds rate unchanged for the immediate few months, with the next big moves still more liable to be lower.

Fed funds rates versus the SOFR rate

SOFR *minus* effective Fed funds rate)



Source: Macrobond, ING estimates

SOFR has become less tight, but the effective funds rate is still refusing to edge back down

The effective funds rate used to trade just 8bp above the funds rate floor. The ratchet higher to 14bp through September/October 2025 prompted the policy of renewed T-bills buying. The backstory saw bank reserves dip below US\$3tr, and repo had shown a marked tendency to tighten, with bank reserves at sub-US\$3tr. That repo tightness, in a relative value sense, was the genesis of the rise in the effective funds rate. Rate cuts have dominated, of course, but the issue is the rise in the effective funds rate within the (25bp) funds rate range.

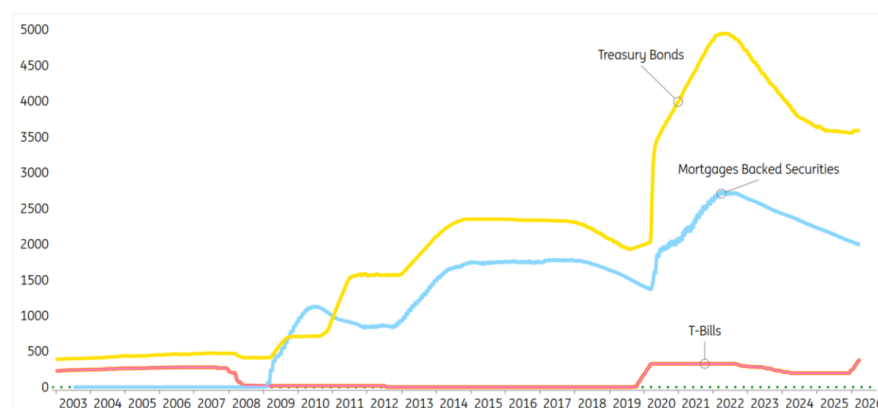
The effective funds rate has refused to budge from the 3.64% level. And by the way, that's just 1bp below the rate paid on reserves (3.65%). It's actually tough to get to 3.65%, as then eligible counterparties have a choice between two windows (reserves vs funds rate). It should not go above, though.

The other competition for avenues for market liquidity is repo, as encapsulated by the SOFR rate (basically an amalgamation of repo rates). Different players in the market with varying rights in the reserves bucket or the reverse repo bucket will see SOFR as an alternative rate that gets deployed from a relative value perspective. This is important for framing where the effective funds rate actually sits. SOFR should, in theory, trade below the effective funds rate, as it is a collateralised rate. So there is a whole relative value trade going on in this space.

And in the funds market, we also need to account for the Federal Home Loan Banks. They provide funds to typically smaller banks. The Federal Home Loan Banks cannot post in the Fed's reserves bucket, but they can post at the Fed funds rate. In fact, they tend to be dominant players in the current funds rate market, especially as the commercial banks will prefer to post at the higher excess reserves rate. Bottom line, they are effective funds rate influencers.

The Fed's bond and bills holdings

USD, billions

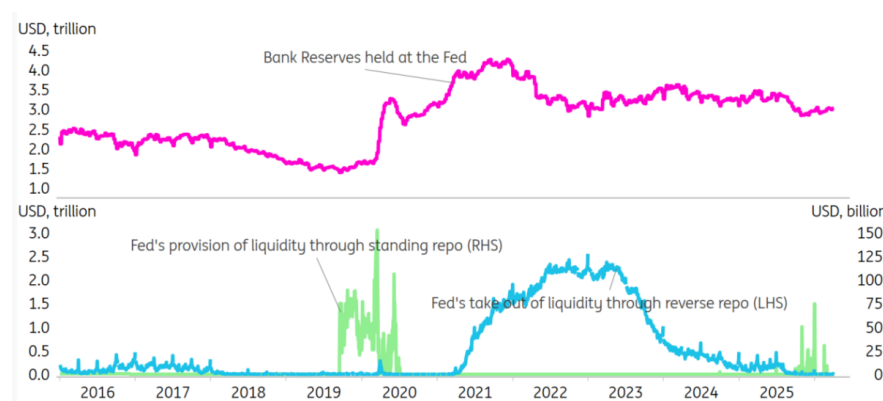


Source: Macrobond, ING estimates

Since the Fed re-commenced T-bill buying in mid-December 2025, it has bought a cumulative US\$200bn. Overall, the Fed's holdings of all securities (including bills) are up US\$155bn, to US\$6.3tr. That has coincided with a rise in bank reserves by US\$180bn, to just over US\$3tr (helped by a moderate spend down in the Treasury cash balance). Given the net balance sheet expansion, the Fed should be disappointed that the effective funds rate has not eased lower, even if only by a few basis points.

Bank reserves at the Federal Reserve

Alongside the Fed's repo (adding liquidity) and reverse repo facilities (taking out liquidity)



Source: Macrobond, ING estimates

Bank reserves are steady now that the Fed is back in the business of buying bills

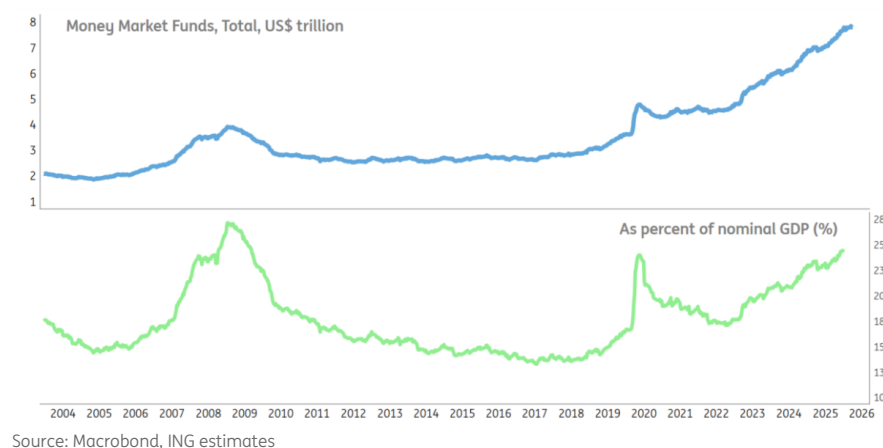
Then there is the complication of a transition from the current excess reserves environment, potentially back towards a "scarce reserves" environment, as indicated by Kevin Warsh (but without specifics). Selling the bonds is relatively straightforward; far less straightforward is how to get back to the prior regime for reserves management and how the funds rate is set, along the way, and in the future.

One aspect that can help here is the revision to the leverage ratio requirements as of 1 April 2026. The fact that the larger banks will, as a result, have more capacity to buy Treasuries and/or engage in repo is potentially a huge benefit. The weak link in the current structure has been the capacity for tightness in repo to bully the effective funds rate higher, primarily on a relative-value play. Larger banks in the game could and should tame the tendency for repo to over-tighten at times.

There is a link here with reserves, too, as the Federal Reserve has reverse-engineered a logic that repo tightness was associated with the fall in excess reserves to a level that exacerbated repo tightness. While a clear link between the two is not necessarily obvious, one does exist. We saw the same when the Fed went through its first quantitative tightening exercise in 2019, which culminated in a brief but severe repo tantrum. It was calmed through a Fed decision to buy bills to help add bank reserves. Fast-forward to 2025, and we saw the same, as the Fed resumed buying bills on repo tightness (since mid-December 2025, and ongoing).

Money market funds remain on the rise

Also on the rise as per cent of nominal GDP

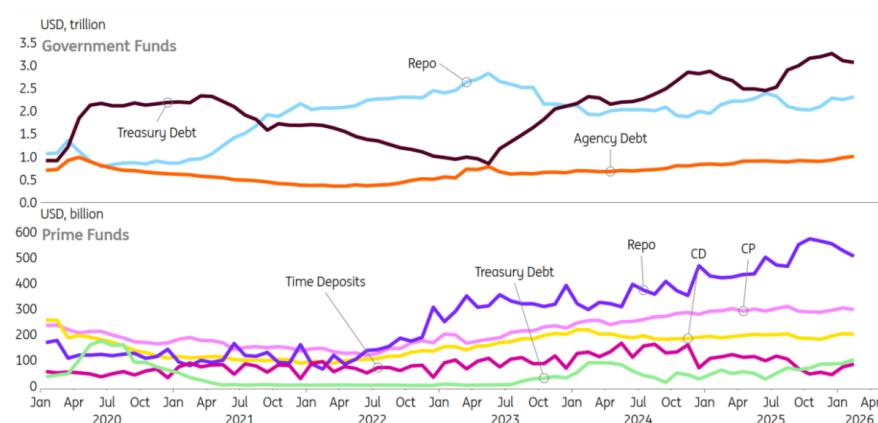


Money market funds are maintaining holdings while bank deposits are on the rise

Inflows to money market funds remain firm, with both institutional and retail participating. Prime funds continue to see their fair share of the increase. As a percentage of GDP, total money market funds are now approaching 25%, not far off the previous high of 27% in 2009. So far, the rate-cut narrative has not been a material issue, mostly as a return of 3-4% still represents a decent return on what is effectively a 'zero risk' product. The latest data shows money market funds holding steady, while large bank deposits have seen some decent inflows. At the margin, there have been some moderate institutional outflows from money market funds, while retail is holding steady. Not particularly big moves.

Money market fund holdings

Government Funds on top, and Prime Funds on the bottom



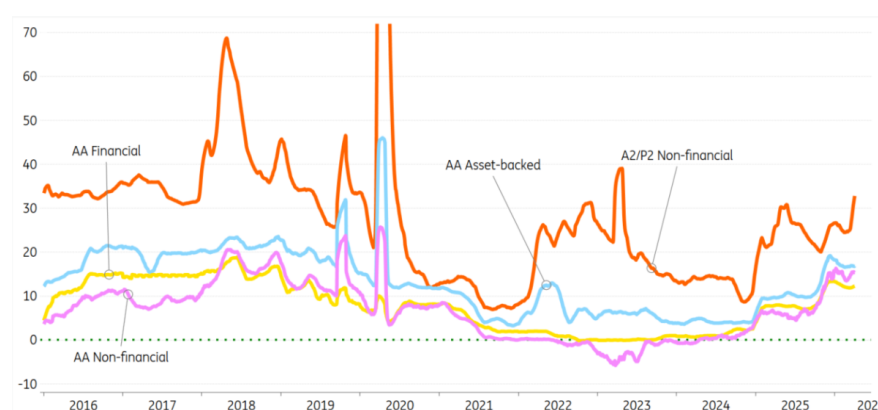
Source: Macrobond, ING estimates

In terms of specific exposures, Government Funds have seen a renewed rise in holdings of Treasury Debt (effectively bills). Extra bills are being issued to take pressure off coupon issuance. This should help maintain a concession in bills. Repo has been downsized relative to bills' holdings as a result, although repo has been on the rise recently.

In Prime Funds, repo (reflecting equity repo) exposures remain elevated, albeit off prior highs. Exposure to commercial paper (CP) has been gradually rising, while certificates of deposit (CD) and ordinary deposits have been steadier to a tad lower. Bank deposits have seen resumed rises, mostly into the larger banks (less so into the small banks).

Commercial paper alternatives

As spreads above the Fed's reverse repo rate (bp)



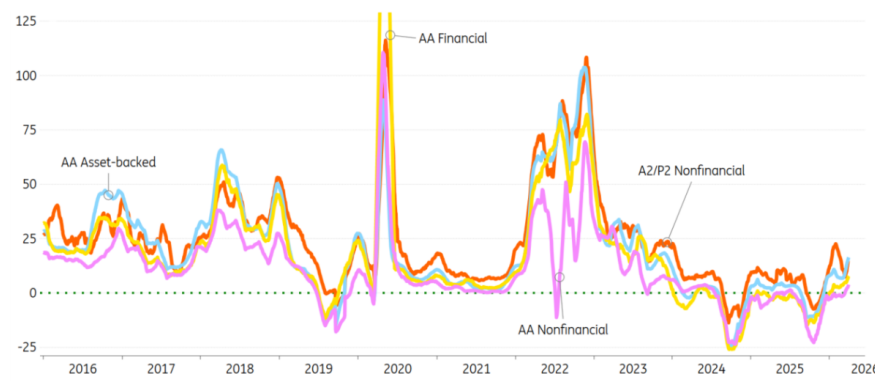
Source: Macrobond, ING estimates

In terms of attainable rates, the entire spectrum of overnight commercial paper rates remains comfortably above the Federal Reserve's reverse repo rate. This has reflected past relative tightness in repo, which has acted as an upward drag on other rates from a relative-value perspective, and on a concessionary T-bills environment.

With the Fed still technically in rate-cutting mode, we should see a mild concession when terming out. But that concession has recently reverted towards a premium, especially for the lower-rated product. If the Fed is to cut rates later in the year, then terming out in spread products at current levels could be seen as a decent play.

Terming out

From overnight (o/n) to three months (3mths), bp



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GBP Money Markets: Liquidity holding amid turmoil

Higher oil prices led to a significant repricing of money market curves, but whilst money market spreads have shown some movement since the start of the Iran conflict, the overall picture looks benign. A stable SONIA and no increase in the uptake of central bank liquidity suggest still ample reserves to satisfy demand

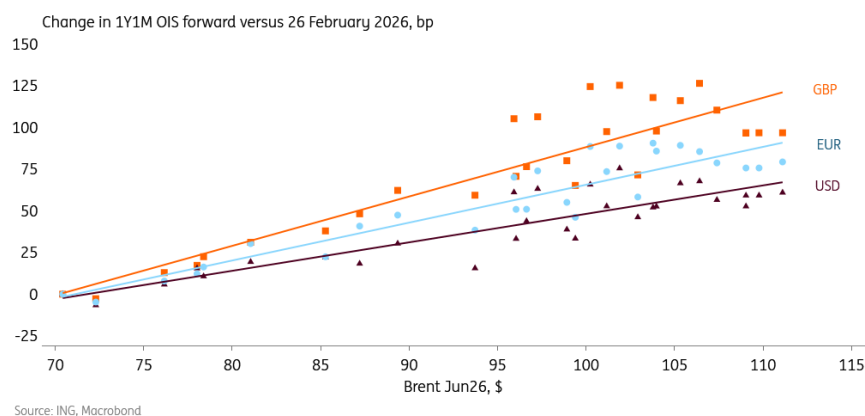


With oil prices in the driver seat, it can be seen in money market spreads, but the impact remains well contained overall

Oil in the driver seat brings great uncertainty

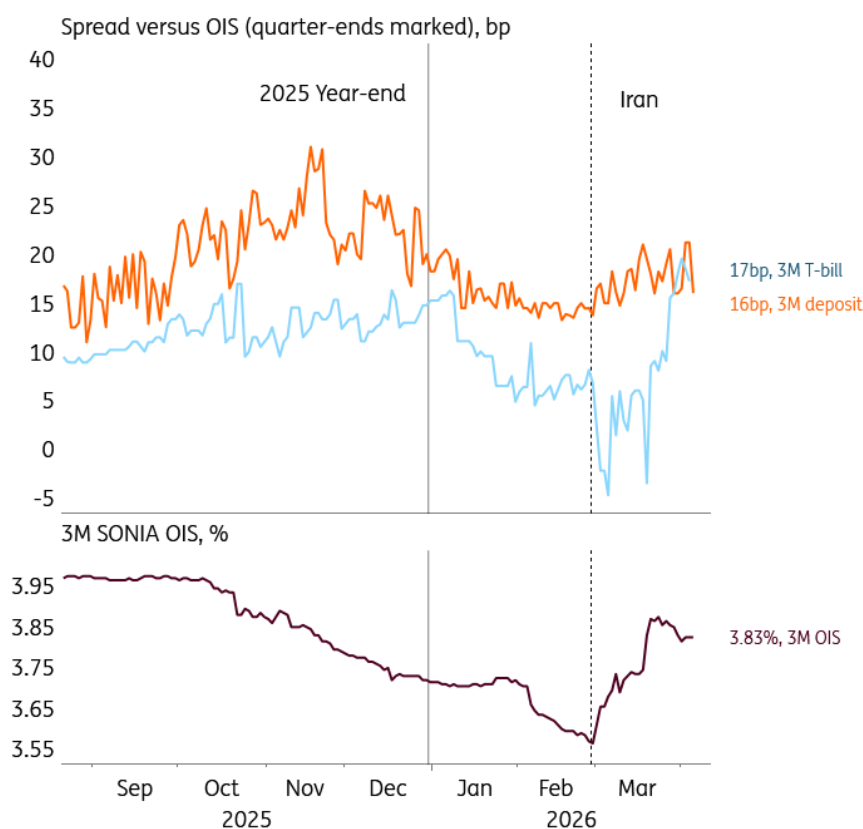
Markets have been driven almost entirely by the rising energy prices stemming from the Middle East conflict, and GBP money markets are no exception. Whilst two rate cuts were priced in at the end of February, the current curve implies around 30bp of hikes before the end of this year. The Bank of England (BoE) repricing has been relatively more hawkish than the Federal Reserve and the European Central Bank, but we think markets are running a bit ahead of themselves. And the BoE seems to agree with us, as its communication is pushing against a steep hiking cycle. Having said that, the narrative continues to be written by the oil price, which implies we still have plenty of uncertainty ahead.

GBP rates markets are more sensitive to oil than peers



The market shock since the start of the Iran conflict is evident in money-market spreads, but the impact remains well contained overall. The 3-month spread between SONIA OIS and bank deposits rose by a few basis points during March, but remained much tighter than most of 2025. The widening might be attributed to increased demand for liquidity from banks, but given the relatively benign moves, we don't deem this disconcerting. The sharp moves in 3-month Treasury bill spreads can be explained by the volatility in swap rates, and the general picture does not raise alarm bells.

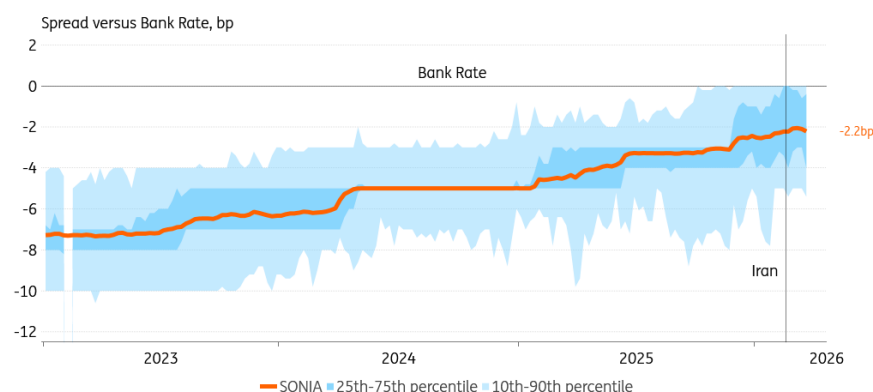
The Iran conflict is triggering some volatility, but nothing concerning



Source: ING, Macrobond

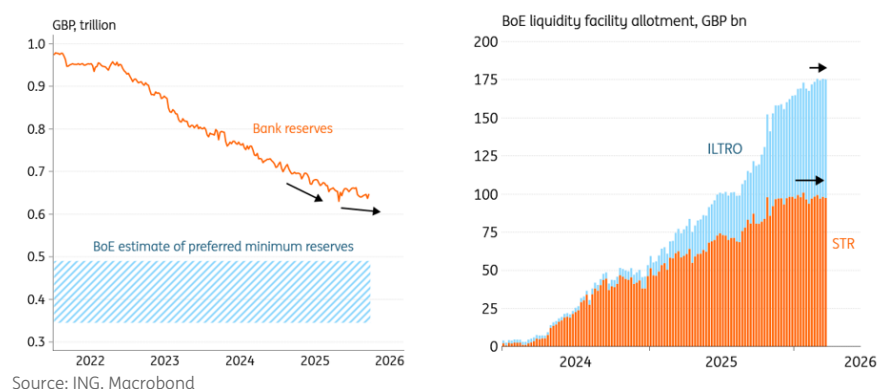
When looking at alternative indicators for liquidity in the financial sector, we also don't find signs of significant market stress. SONIA, for instance, still trades at around 2bp below the Bank Rate, which means banks' demand for reserves has not risen materially. This is also consistent with the relatively muted uptake of the BoE's liquidity facilities. Both the Short-Term Repo (STR) and Indexed Long-Term Repo (ILTR) saw a stable uptake throughout March.

SONIA continues to trade around 2bp below the Bank Rate



Source: ING, Macrobond

Banks did not increase uptake of central bank liquidity



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FX Daily: Volatile truce

The dollar has found some firmer ground after Iran said the ceasefire had been violated yesterday. Fresh positive headlines on peace negotiations and Hormuz reopening should still asymmetrically favour high-beta/EM currencies, but euro gains may prove more sustainable as ECB pricing could prove sticky around 50bp of hikes



[Sign up here](#) for our webinar **Iran ceasefire: What next for markets and the economy?**
Today at 09:00 BST/10:00 CEST

➔ USD: Fed minutes highlight dual risks

Higher beta and carry currencies have led the rebound against the dollar since the ceasefire announcement. Beyond their natural sensitivity to the equity rebound, FX investors may be positioning for a gradual return to conditions of lower volatility, which tend to favour carry and EM FX, alongside some stickiness in energy prices to which some high-beta currencies are positively exposed.

We suspect this preference for higher beta currencies over lower beta, more liquid alternatives

such as EUR, GBP and JPY can persist as long as markets are not given a reason to question the de-escalation narrative. Iran said yesterday that the ceasefire had been violated, helping the dollar recover a small portion of losses. That serves as a reminder that the situation remains highly uncertain and that small bouts of re escalation are still possible even if the conflict moves towards a broader resolution.

On the macro side, the Federal Reserve minutes yesterday caused a small hawkish reaction – with swap rates now embedding only 7bp of easing by year-end after touching 15bp earlier yesterday. The main highlight of the minutes, in our view, was however the reinforcement of two-side risks stemming from the war, with faster cuts discussed as an option should job losses outpace inflation. We see room for dovish repricing in Fed expectations from here – a dollar negative.

Today, there are some US data releases to watch. February core PCE inflation is expected to come in close to 0.4% month-on-month, though it is largely pre war and therefore of limited relevance. Jobless claims remain interestingly low, and the question is whether a delayed pick up finally materialises in one of the coming weeks. Personal income figures are also pre war, and the third estimate of 4Q GDP should have little market impact.

Headline trading still dominates. Evidence that traffic through the Strait of Hormuz is picking up could add pressure on the dollar, but a more durable move would likely require signs that the ceasefire evolves towards a lasting arrangement. Otherwise, markets may start to grow nervous again once the two week ceasefire nears expiry.

Francesco Pesole

➔ ECB: Sticky ECB pricing can help

This is not an environment for outright EUR strength given investors' preference for higher beta currencies. Still, European Central Bank pricing could give the euro more durable support than elsewhere. While falling energy prices have driven a dovish repricing in the EUR swap curve, markets continue to discount around 58bp of tightening by year end.

We doubt that a modest further decline in energy prices alone would be enough to push ECB pricing below 50bp. Rate cycles at the ECB are typically framed around two 25bp moves or nothing at all, meaning a material dovish shift would likely require explicit guidance rather than just lower oil prices.

With no permanent ceasefire in place and uncertainty around oil flows persisting, the ECB is unlikely to rush towards a decisively dovish narrative. That could prompt the euro to outperform other currencies (like USD) where pricing appears to be more flexible on the dovish side.

A jump to 1.180 seems a bit premature given lingering volatility in the Gulf, but sticky ECB hawkish bets favour a return to the 1.170-1.173 area in EUR/USD.

Francesco Pesole

⬇ GBP: Downside risks vs EUR

We struggle to see much downside potential in EUR/GBP following the drop to 0.870, which largely reflected sterling's higher sensitivity to the sharp equity rally.

As discussed above, EUR rate expectations may prove sticky, while Bank of England dovish repricing could come through more smoothly if energy prices keep declining. After all, the BoE was already ready to cut before the war began, and we have a conviction view that second round effect risks in the UK are significantly lower than in 2022.

Some BoE speakers (Governor Andrew Bailey, as well as Catherine Mann and Megan Greene) next week could offer markets an opportunity to trim pricing below one hike this year (currently 30bp), providing some bullish fuel for EUR/GBP. We still expect the pair to return to 0.880 this quarter.

Francesco Pesole

PLN: No change in rates for some time

The National Bank of Poland is likely to leave rates unchanged at 3.75% today. This is a meeting without a new forecast and the first meeting after the March rate cut. Some MPC members indicated before the meeting that rates will likely remain unchanged for a longer period of time and some mentioned that the March cut was the last. Attention will be on the Governor's press conference today, which will likely determine the central bank's further direction.

The market has priced out about one and a half rate hikes after the US-Iran ceasefire announcement and remains priced at less than 20bp at the one-year horizon. This is the lowest in the CEE region and rates pricing is quickly returning to normal. If the central bank confirms its tendency to wait longer and do nothing today and, at the same time, the geopolitical situation stabilises further, we should see some pressure on the remaining rate hike pricing, although the market will probably keep some optionality here. On the other hand, the government has aggressively entered the fuel market, which should keep inflation under control and stay roughly within the central bank's tolerance band. Our forecast is for rates to remain unchanged for an extended period.

EUR/PLN saw its biggest one-day fall in a year yesterday, erasing roughly half of the move up from pre-conflict levels. Still, EUR/PLN and the rest of the region are mainly driven by geopolitical headlines, and today's NBP meeting will have little impact. However, assuming that the risk-on sentiment continues and the US-Iran ceasefire holds, the zloty has further potential to erase previous losses, although reaching pre-conflict levels below 4.220 will take longer.

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The Commodities Feed: Hormuz remains blocked for now

Optimism over the ceasefire faded after Tehran said several terms of the agreement had been breached



ICE Brent is back above USD 97/bbl

Energy – Oil rebounds amid Hormuz uncertainty

Oil prices rebounded on Thursday after suffering their sharpest daily drop since April 2020, with ICE Brent rising more than 3% to trade back above USD 97/bbl. Prices rebounded as fighting in the Middle East continued, and the ceasefire outlook deteriorated, keeping uncertainty around the Strait of Hormuz firmly in focus.

Optimism over the ceasefire faded after Tehran said several terms of the agreement had been breached.

Israel has launched its largest assault on Lebanon since the start of its invasion, while President Donald Trump said the US military would “remain in place in, and around Iran, until such time as the real agreement reached is fully complied with.” An Iranian delegation is due to arrive in Islamabad on Thursday night.

Oil tanker traffic through the Strait of Hormuz has been halted, heightening supply risks. With a full reopening of the strait unlikely in the near term, oil prices are expected to remain supported, as

disruptions linked to reduced output and refinery shutdowns will take time to unwind.

US inventory data was mixed. The EIA reported that crude stocks rose by 3.1m barrels last week, marking a seventh consecutive build and well above expectations for a 0.76m barrel increase. Total crude inventories reached 464.7m barrels, the highest level since June 2023, and stand around 2% above the five-year average. Stocks at Cushing edged up by 24k barrels to 31.5m barrels. Crude imports fell by 130k b/d to 6.3m b/d, while exports jumped by 628k b/d to 4.1m b/d.

In refined products, gasoline stocks fell by 1.6m barrels for an eighth consecutive week, while distillate inventories declined by 3.1m barrels, extending drawdowns into a second week and exceeding market expectations.

Meanwhile, European gas prices posted their steepest daily fall in more than two years. TTF futures dropped over 20% to an intraday low of EUR 42.5/MWh, the lowest level since 2 March, reflecting optimism around a potential temporary reopening of the Strait of Hormuz. Markets are watching US-Iran talks closely, with no LNG tanker having transited the strait since the conflict began. EU gas storage has edged higher to 28.8% full, still well below 35% a year ago and the five-year average of 41.6%.

Metals – Gold remains sensitive to geopolitical developments

Gold pared earlier gains after Iran's parliamentary speaker said last night a temporary ceasefire with the US had been violated. Reports of continued fighting, including Iranian strikes on Gulf states, and ongoing disruption to traffic through the Strait of Hormuz kept geopolitical risks elevated. Uncertainty also persists over whether the ceasefire extends to Israel's campaign in Lebanon.

Earlier in Wednesday's session, gold had climbed above \$4,800/oz alongside global equities as a two week truce between the US and Iran briefly lifted risk appetite and eased fears of a broader economic shock.

Conflicting geopolitical signals are driving choppy price action in gold, with safe haven demand offset by shifts in risk sentiment and dollar moves.

Looking ahead, gold is likely to remain headline driven in the near term, with further clarity on the durability and scope of the ceasefire key for determining whether prices can regain upside momentum.

In industrial metals, LME copper erased earlier gains and traded lower on Thursday as renewed hostilities dented confidence in the fragile US-Iran ceasefire. On the supply side, rising inventories added pressure, with LME stocks climbing by a further 6,500 tonnes for a third straight session to 385,275 tonnes, the highest level since March 2018, underlining subdued demand despite the recent improvement in sentiment.

Meanwhile, the latest LME COTR report shows that speculators added to net long positions in aluminium for a second consecutive week, with net longs rising by 11,567 lots to 94,554 lots in the week ending 3 April. The increase was largely driven by short covering, with short positions falling by 28,801 lots amid tight global supply. Elsewhere, net long positions in copper rose by 7,167 lots to 45,896 lots, while zinc net longs edged up by 442 lots to 40,613 lots.

Agriculture – Ukraine grain shipments decline

Data from Ukraine's Agriculture Ministry shows that grain and legume exports in the 2025/26 marketing year have fallen to around 26.8mt as of 8 April, down 31% year-on-year. Corn shipments totalled 14.8mt, a 16% annual decline, while wheat exports fell 24% YoY to 10.2mt. The drop continues to reflect disruptions from ongoing Russian attacks on Ukraine's port infrastructure.

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Webinar: Iran ceasefire – what next for markets and the economy?

Join our next live webinar on Thursday 9 April, where ING's team of economists and strategists will meet to discuss the potential economic impact of a conditional two-week ceasefire between the US and Iran. [Sign up here](#)



Oil prices have tumbled on news that the United States and Iran have agreed to an initial two-week ceasefire, potentially allowing energy flows to resume through the Strait of Hormuz. Risk assets have surged, and rate hike expectations have been pared back. But needless to say, the situation remains both uncertain and fragile.

[Join ING's economists and strategists](#) for their first take on what the news means for the global economy and financial markets.

They'll discuss:

- How quickly energy flows can resume through the Strait of Hormuz, and the scenarios for the second quarter

- The impact of the conflict so far on global supply chains and global growth
- How high inflation is likely to rise and whether central bank rate hikes are back off the table
- Whether bond yields have further to fall
- The direction for EUR/USD and scenarios for FX markets

Speakers

- **Carsten Brzeski** (Global Head of Macro Research)
- **Ewa Manthey** (Commodities Strategist)
- **Chris Turner** (Global Head of Markets and Regional Head of Research for UK & CEE)
- **Michiel Tukker** (Senior UK & Eurozone Rates Strategist)
- **James Smith** (Developed Markets Economist)

Details

Date: Thursday 9 April

Time: 0900 BST/1000 CEST

The webinar will last 30 minutes and will feature a Q&A session at the end.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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CNY at a glance: China's yuan moves into our bullish scenario

News of a US-Iran ceasefire has pushed the Chinese yuan higher, breaking through our previous forecast band and prompting an update. We're setting the new forecast band at 6.70-7.05, formerly our bullish scenario for the CNY this year



China's yuan has risen more than 2% against the dollar this year

6.70-7.05

Our updated 2026 USD/CNY fluctuation band

Adjusted lower amid continued bullish factors for the yuan

CNY has outperformed most currencies vis-a-vis the dollar this year

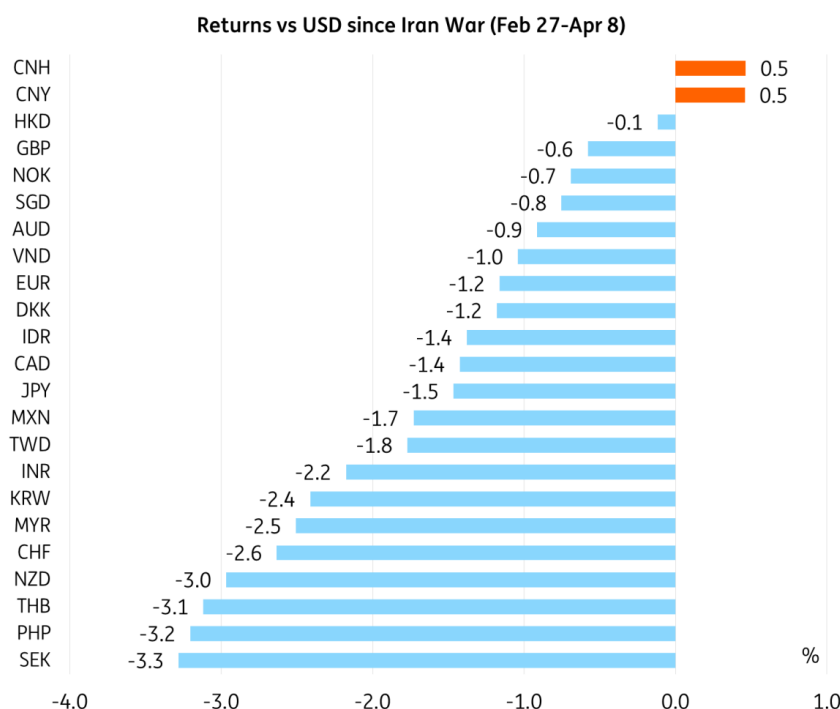
The Chinese yuan has tended to fall in the middle of the pack in terms of its performance versus the US dollar in the past few years, as the currency stability objective of the People's Bank of China has led to very limited movement in the yuan.

This has changed so far in 2026. Year-to-date, the CNY has actually been one of the notable outperformers against the USD, up 2.3%, easily outperforming most other Asian currencies on the year. Since the outbreak of the Iran war to the time of writing, the yuan (CNY) and the offshore yuan (CNH) are the only currencies in our tracked basket that have actually gained against the USD.

So what's the story behind this surprising outperformance?

- First, the market's bullish sentiment has carried forward. We [wrote about the building bullish sentiment](#) in the last update of this report in January. In our conversations with a wide range of market participants, we note that this bullish sentiment on the CNY remains intact and seemingly quite widespread.
- Second, policymakers appear content to allow for further CNY strengthening. There was some question about this when policymakers cut the foreign exchange risk reserve ratio from 20% to 0% in what was an apparent attempt to halt the pace of CNY appreciation. However, after the outbreak of the Iran war, and the immediate spike in oil prices, there appeared to be a change of heart, as the PBoC's daily fixings suggested a tolerance for further appreciation.
- Third, macro level drivers continue to suggest room for further appreciation of the CNY versus the USD if the situation in the Middle East is brought under control. China's exports are off to another strong start this year, suggesting that the current account surplus is going to remain a positive factor for the yuan. Meanwhile, the currency has largely weathered the widening US-China yield spread, which should resume its narrowing trend if inflation expectations come under control. That is far from guaranteed. Since the outbreak of the war, two dominant narratives have emerged: warnings from experts that markets may be underestimating the impact, and a widely held expectation among investors of a TACO ('Trump always chickens out') scenario and eventual normalisation.
- Fourth, the CNY has been a surprising winner of the Iran war, despite China's role as the largest oil importer in the world. At least a few market participants have mentioned re-evaluating the "China risk premium" amid rising global uncertainty elsewhere, which has led to China looking more and more like the adult in the room. While the actual direct impact has been tangential at best, discussions of the potential damage to the petrodollar system and rise of the petroyuan – aided by Iran's plans to collect a fee for passage through the Strait of Hormuz to be collected in CNY or cryptocurrency – may have also added to longer term bullish expectations for the CNY.

CNY and CNH have been the surprising outperformers since the Iran war broke out



Source: Bloomberg, ING

PBoC fixings suggest no opposition to gradual appreciation

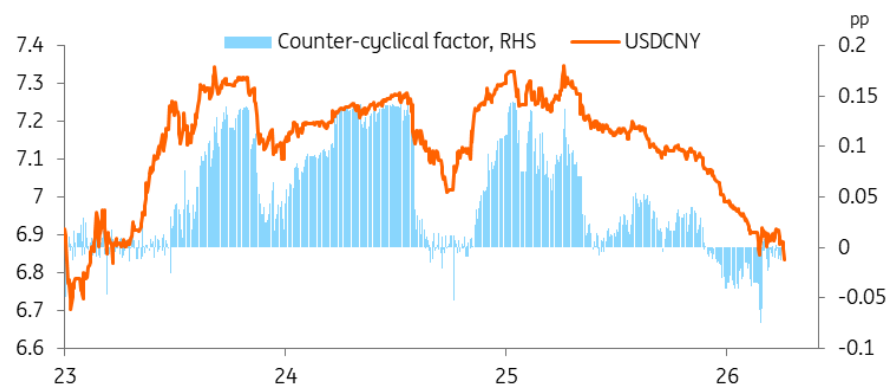
In this report series, we've often talked about the PBoC's currency stability objective as one of the key deciding factors for the trajectory of the USD/CNY. The PBoC has exerted its influence on the currency primarily through its daily fixings. The counter-cyclical factor, which is the adjustment it makes to the daily fixing versus the previous day's market closing price, has been heavily relied on to curb excessive movements of the USD/CNY during periods of heavy market speculation. In the last few years, this has mostly been used to push back against heavy depreciation pressure. Towards the end of 2025, however, this pattern started to reverse, with the PBoC using fixings to push back more cautiously against appreciation.

The PBoC's counter-cyclical factor has been very close to neutral for most of March and the start of April, after leaning more forcefully against rapid appreciation in previous months. This has sent a signal that policymakers are open to the CNY continuing to strengthen, and remains one of the main factors supporting CNY appreciation. This was a little surprising as the counter-cyclical factor and the cutting of the foreign exchange risk reserve ratio from 20% to 0% had appeared to signal an effort to rein in CNY appreciation back in February.

The outbreak of the war in Iran looks to be the reason for the renewed embrace of a stronger CNY. China remains the world's largest oil importer, and while a slight appreciation of the CNY certainly won't offset the surge in oil prices, it can at least help mitigate the potential pain. Other factors may include the senior-level comments on attempting to balance trade and ramp up imports, to which a strong CNY would also contribute. Furthermore, it is possible that higher inflationary pressure and uncertainty from the war will delay potential PBoC rate cuts; as a result, we have

pushed our forecasts back from 2Q26 to the second half of the year. Even though PBoC cuts tend to be modest, a delayed rate cut is nonetheless a positive factor for CNY appreciation.

Counter-cyclical factor has been mostly neutral compared to previous years



Sources: Bloomberg, CEIC, ING

CNY has shrugged off a sharp widening of yield spreads

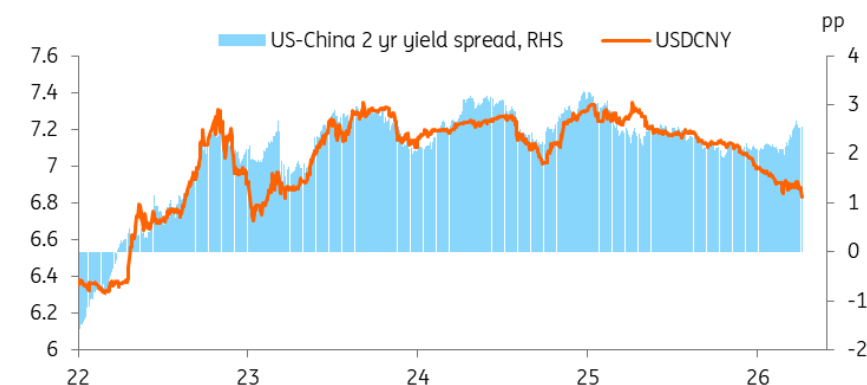
US-China yield spreads have been a major driver of the USD/CNY's trajectory over the past few years. Higher US yields have been a key reason why Chinese exporters have kept a large share of their proceeds offshore, contributing to CNY weakness in recent years. However, as the Federal Reserve resumed its rate cutting cycle, the yield spread began a more predictable narrowing trend from early 2025 through early 2026.

The Iran war has quickly derailed this story, as US yields moved higher while Chinese yields edged a little lower. Over recent weeks, the two year US-China yield spread widened to its highest level since February 2025. Yet this translated into only a modest softening of the CNY over the same period, and by the time of writing, renewed prospects for peace have led markets to largely shrug off the wider yield spread entirely.

There's still a relatively high level of uncertainty on this front, mostly from the US side of the equation. If inflation remains under control, and the Fed eventually resumes rate cuts after a few pauses, we'll likely see a return of the narrowing yield spread story, which will further fuel CNY appreciation expectations. This is one of the reasons why the CNY has strengthened considerably on today's news of a two-week ceasefire.

However, if we move into a longer rate hold, or worse, a Fed rate hike environment where the yield spread stays elevated, the bullish case for the CNY begins to look weaker. This is a potential outcome of a longer war scenario, and remains worth monitoring.

CNY has continued to appreciate despite spike in yield spreads



Sources: Bloomberg, CEIC, ING

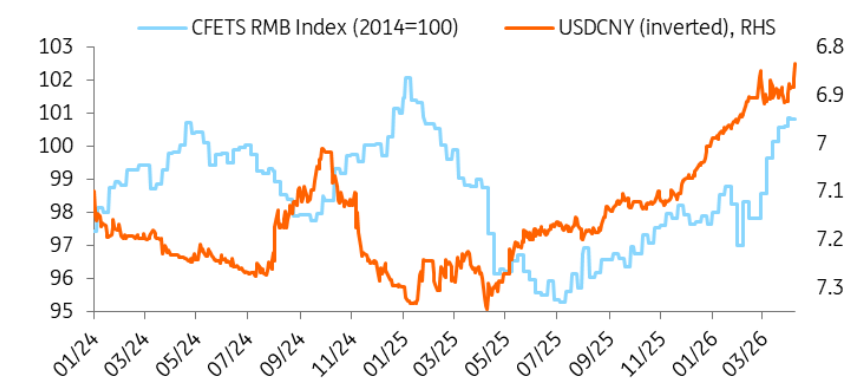
CNY's recent outperformance across the board may not hold if peace is successful

We wrote earlier about the CNY's surprising outperformance against the USD since the start of the Iran war, beating the other currencies in our monitored basket.

As such, it should come as no surprise that the CFETS RMB index, which heavily weights the euro (17.9%), Korean won (8.5%), and Japanese yen (8.1%) alongside the US dollar (18.3%) has also strengthened noticeably in the same period. This index is up 2.3% since the start of the Iran war, and 2.9% year-to-date.

While we are still optimistic about the CNY's prospects against the USD, the performance versus other pairs could lag behind by comparison. Other currencies, which have generally fared poorly after the Iran war, could bounce back more strongly, limiting the CNY's relative scope for further appreciation. As such, the CFETS RMB index could underperform versus the USD if we see a scenario where the peace holds and the strong dollar backdrop fades.

CFETS RMB index has also outperformed in the recent strong dollar environment



Sources: Bloomberg, ING

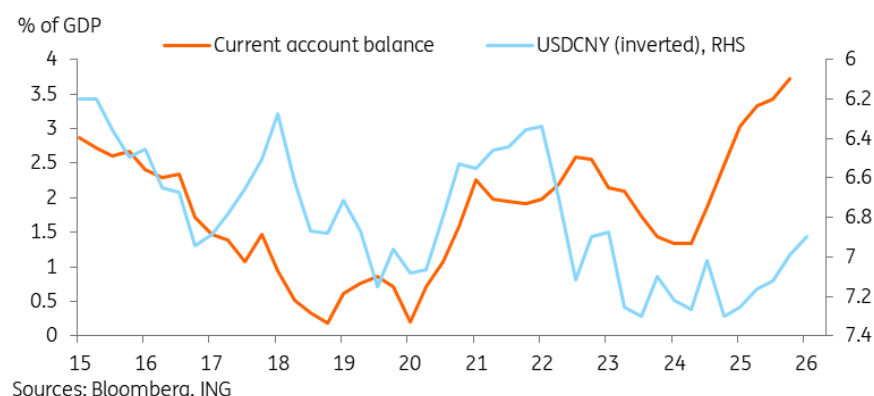
Current account shows no sign of letting up so far in 2026

China has been running an especially strong current account surplus in the last couple of years, as external demand has been resilient despite the trade war. Despite facing a largely unfavourable base effect, China's trade growth appears to be off to another strong start this year. While imports look likely to rebound as well this year, China's trade surplus will remain very significant.

This is relevant for the CNY as the currency has shown clear historical correlation with the current account, as exporters tended to remit proceeds back into the CNY. This relationship appears to have broken down in recent years. While the current account balance has risen sharply, USD/CNY has remained largely range bound. This reflects exporters holding a greater share of foreign currency proceeds due to more attractive yields abroad relative to China, as well as generally subdued domestic investment appetite – underscored by the fact that 2025 marked the first year on record in which fixed asset investment contracted on an annual basis since data publication began.

What does this mean for the CNY? Assuming that exporters eventually begin to convert holdings back to the CNY – either to meet domestic obligations or as yield spreads narrow – this would translate into a lot of pent-up demand for the CNY. We have already observed this to be a factor during the CNY's rally to date, but considering the current levels for the CNY and the current account balance, it could be argued there's still plenty of room to go.

Current account balance suggests more strength for CNY ahead



Rise of the 'petroyuan' remains a long-term theme rather than a short-term catalyst

Iran's potential move to turn the Strait of Hormuz into a tolled passageway – requiring payments in cryptocurrency or CNY – has sparked lively debate about what this could mean for the yuan's future. This includes renewed interest in the so called 'petroyuan', perhaps last discussed prominently near the start of the Russia-Ukraine war, when sanctions on Russia resulted in much of the country's oil trade with China moving to the CNY.

One interesting argument was that, if the Iran war were to end with Iran successfully controlling the Strait of Hormuz, this could lead to a system in which payments for passage are collected in CNY, and eventually to oil trade flows through the Strait and into Asia being denominated in CNY. In this scenario, the Iran war would be seen as dealing a major blow to the petrodollar system,

with the CNY emerging as a key beneficiary amid an acceleration towards a 'petroyuan' system, and the world taking another step towards a more multipolar order.

It's not surprising why this topic has garnered interest and discussion. However, there are a few logical leaps that appear to occur here; it's assumed that the trade going through the Strait would be priced in CNY, rather than just the fee for passage. This would require the cooperation of all of the Gulf states, and there hasn't been anything to indicate that such a shift is currently in the works. It also assumes that Iran permanently assumes control of the Strait, and passing ships willingly pay the fees.

In the near term, the impact is likely to be very incremental. After all, there is not a strong level of clarity on Iran's criteria for letting ships through the Strait of Hormuz, with only a small number of tankers currently permitted to transit. Among those ships that have secured passage, it is unclear whether or not a toll was paid, and whether the payments were made in CNY or other currencies.

In a thought exercise where we take the most optimistic assumptions, where traffic to the Strait of Hormuz is fully restored to around 100 vessels a day or 36k vessels a year, and that every single vessel that passed through the Strait ended up paying a USD 2mn equivalent fee in CNY, we'd still only get a somewhat paltry USD 72bn or RMB 491bn.

In a vacuum, this increases CNY demand and global usage. But how significant is that in the grand scale of things? Considering that China's Crossborder International Payments System (CIPS) handled around RMB 180tn of payments in 2025, an extra RMB 491bn wouldn't be negligible but far from a gamechanger.

Nonetheless, the fact that the CNY was requested as a payment currency certainly is something interesting to watch. It is a real-world example of the CNY's rising clout and a vote of support for China acting as a counterweight to the US-dominated financial system.

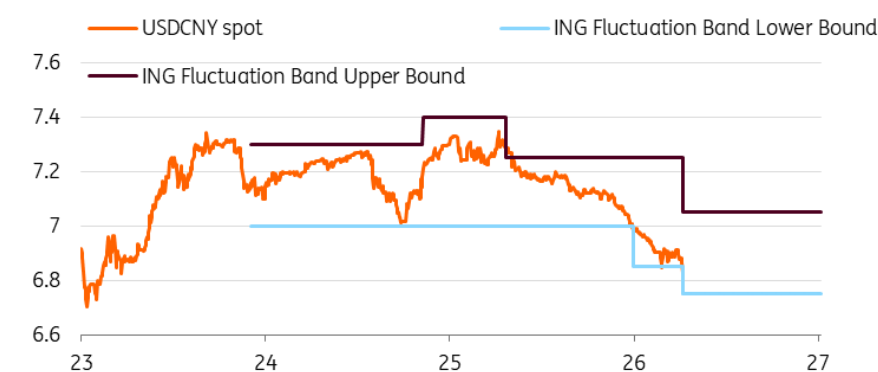
CNY's continued outperformance pushes us into the bullish forecast band

We are moving on from the previous baseline forecast fluctuation band of 6.85-7.25 for the USD/CNY, and lowering the new forecast fluctuation band to what was formerly our bullish scenario forecast of 6.70-7.05. We lower the year-end USD/CNY forecast to 6.75.

The CNY has performed stronger than expected after policymakers ended the pushback against appreciation, and has largely shrugged off a strong dollar environment and elevated global uncertainty to continue its appreciation trajectory.

Risks to the band look roughly balanced at this point. Bullish factors remain in place, but markets also look largely positioned for this already, and it would still be a little surprising to see the PBoC tolerate the CNY strengthening past 6.70 this year; recall that the 6.70 level was basically the strongest for the CNY since currency stabilisation became a more prominent theme back in 2023. On the other hand, a bearish reversal past the top end of the band would likely require new catalysts such as a substantially more hawkish global central bank environment widening China's yield spreads versus other countries, or a renewed pessimism setting in on China's growth. These are certainly possible if we see a strong inflationary impact from the war in Iran, or if China's efforts to bolster domestic demand fall short.

Forecast band shifted lower as CNY continues to outperform



Sources: Bloomberg, ING

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Rates Spark: A gift from Pakistan

We're not sure what will happen at 8pm this evening. But a window has just been presented by a call for a two-week ceasefire. There has been no reaction to this as of yet from the US. But it does present an opportunity to take us away from the brink. The alternative is concerning



As we approach another deadline, there are calls for a two-week ceasefire via Pakistan

On the brink of a delta, and it has the more potential to be positive rather than negative

In the past few weeks, we've monitored the ups and downs in the Iran war. A few weeks back it seemed that President Trump had declared victory and was preparing to wind things down ([here](#)). That proved a false dawn. Then things moved in a sinister fashion, and we highlighted the deterioration ([here](#) and [here](#)), with specifics based off elevated break-even inflation rates, rises in Treasury yields and a downsizing in rate cut expectations. The backstory saw Iran take control of the Strait of Hormuz, shifting the initiative from the US. And we roll on to Tuesday where an 8pm deadline looms, beyond which a severe threat has been laid before Iran.

In many ways, this is much worse than tariffs, as you just pay these and move on. Here, a global energy crisis is a whole different dimension, and it comes with both a price and demand shock risk, the outcome of which is actually not in the hands of the US. It's in the hands of Iran. In the past

hour, there has been a call for a two-week ceasefire, via Pakistan, as part of the negotiations. This presents an opportunity for President Trump to seize the initiative, and take us away from the brink.

In actuality, this war must end in the next couple of weeks, else we are on the precipice of a pandemic-style shutdown in many regions of the world, with a global recession risk to boot

The immediate issue, and the clearest transmission mechanism to bonds and Treasuries, is through inflation, with front-end break-evens in the 3-5% zone, and the prognosis for Treasuries is the curve keeps edging higher. This whole scenario is outright bad for President Trump. Opinion polls suggest no chance for Republican success in the mid-terms. A good chunk of his base voted for him on the theory that there would be no more wars like this one, and at the moment, the Republicans are at risk of losing both houses.

End the war quickly and declare victory presents and out for the President. If we have not ended this war in the next few weeks, we risk a significant sell-off in risk, and in bonds. In that world, yields will get to levels where they represent value as we begin to worry more about global recession than inflation, and then yields really flop lower, substantially. It's a roller-coaster that would not be comfortable for the President. So, best to avoid getting on to it.

Wednesday's events and market views

Markets will primarily be watching headlines for any developments related to the Iran conflict. In terms of data, we start with German factory orders and eurozone PPI data later, but since both are from February, these figures won't be moving the needle. From the US, we first have weekly mortgage applications data, but the more interesting thing to watch should be the FOMC meeting minutes from 18 March. Markets are still in debate as to what the next move from the Fed will look like.

In terms of issuance, Germany will auction 10Y Bunds for €5bn and Portugal 10Y and 14Y OTs totalling €1.5bn. From the US we have a 10Y Note for \$39bn on the agenda.

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Energy shock set to push building material prices higher

Higher energy costs are raising building material prices. Producers use less coal than they once did, but compared to 2022, they have the same exposure to oil and gas. Price increases from the Middle East conflict will therefore likely be passed on to buyers. Contractors should prepare for rising input costs



Producers of building materials such as cement, concrete and bricks rely heavily on energy

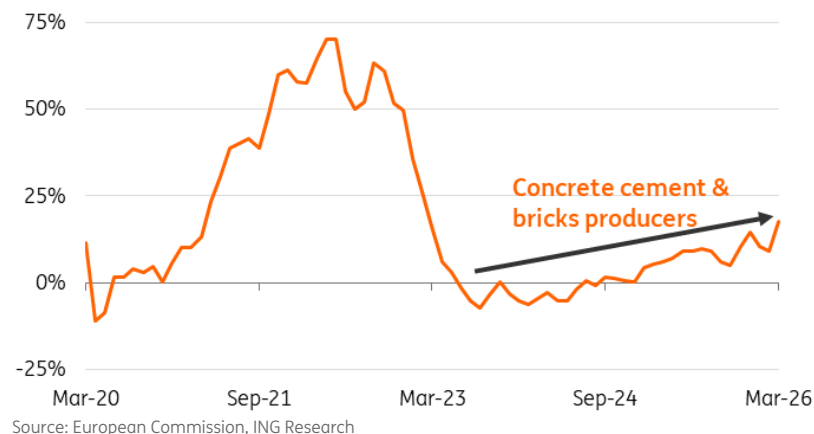
More price increases expected

Many sectors will be impacted by the current surge in energy prices caused by the conflict in the Middle East. [As noted previously](#), producers of building materials such as cement, concrete and bricks rely heavily on energy. If energy prices remain high, these manufacturers are likely to pass increased costs on to construction companies, which will put pressure on profit margins and lead to higher overall building costs. This, in turn, could result in reduced production volumes.

Early indications point to rising building material costs. In March, a net 18% of EU building materials suppliers anticipated increasing their sales prices over the next three months. This figure represents the highest percentage observed in three years since the energy crisis of 2022. Yet, the number doesn't come close to the levels of the energy crisis in 2022.

Rising number of building material producers expect price increases

Balance of building material producers in the European Union that expect to increase/decrease output prices (over next three months)



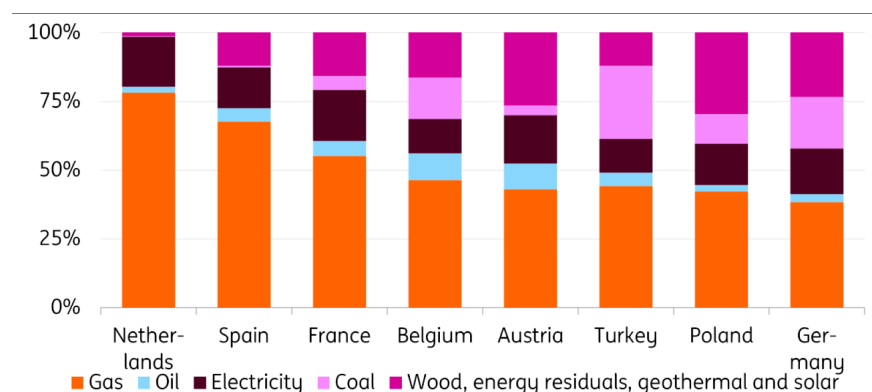
Source: European Commission, ING Research

Different energy sources among countries

Heating sources differ among producers across European countries. For example, gas is commonly used in the building material sector in the Netherlands and Spain. In contrast, producers in Poland and Germany depend more on coal, wood, natural energy inputs and energy residuals. This makes building material producers in the Netherlands and Spain relatively vulnerable to the current price increases in gas. Dutch producers are also reporting the strongest expected increase in output prices.

Building material producers in Spain & the Netherlands are highly depending on gas

Used share of total energy sources in terajoule in cement, concrete & brick industry, 2024



Source: Eurostat, ING Research

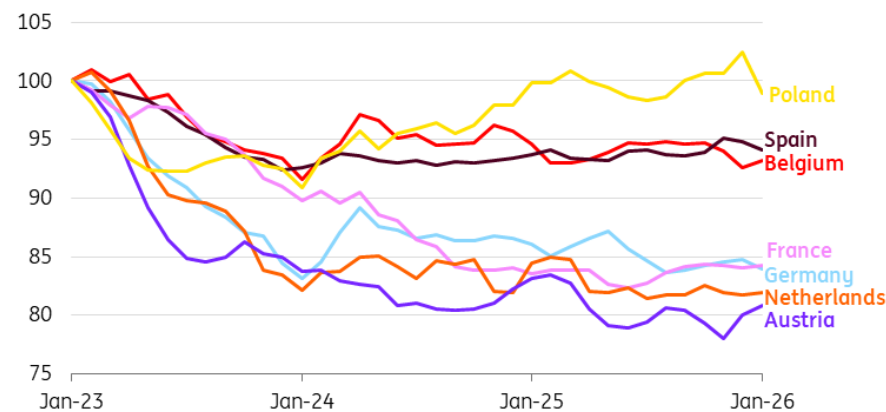
Building material production at a low level

The rising cost of energy is hitting the building materials sector at a challenging time. Many

countries have experienced significant production declines over the past few years, largely because fewer new residential and non-residential buildings are being constructed. [Building permits](#) for new homes have shown an uptick since the end of 2025, offering some positive signs for the sector. Yet ongoing market uncertainty, increased material costs and hesitant consumers may threaten this positive trend.

Building material production has declined across Europe

Volume of production in building material industry (eg. concrete, cement & bricks), Index January 2023, three-month average SA



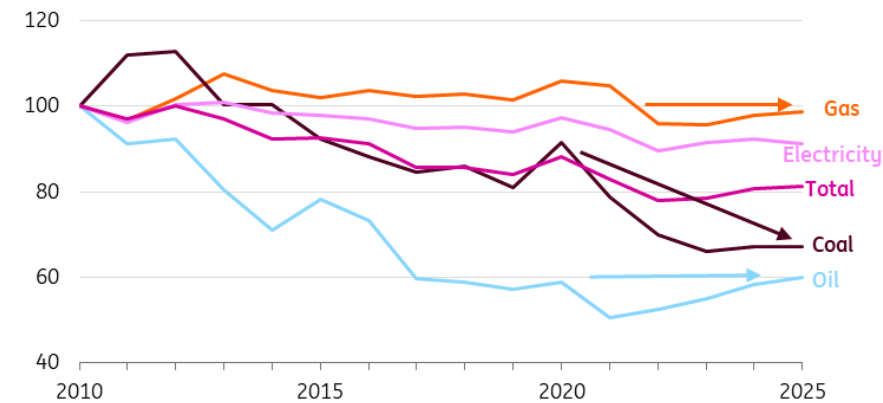
Source: Eurostat, ING Research

Decline of oil dependency, but not in the last five years

In the period 2010-2020, the amount of oil as a heating source has decreased substantially in the sector, although it hasn't witnessed a further decrease in the last five years. Between 2020-2025, companies mainly phased out the use of coal, while the relative amount of used gas has remained more or less the same for the last 15 years. Building material companies have become more sustainable due to the reduced reliance on coal, but the dependency on oil and gas hasn't really decreased. The higher energy costs are therefore still a burden to the industry.

Building materials sector moves away from oil and coal, but not yet from gas

Development of energy intensity per output (mtoe/ USD 2015 billions) in the EU building material sector



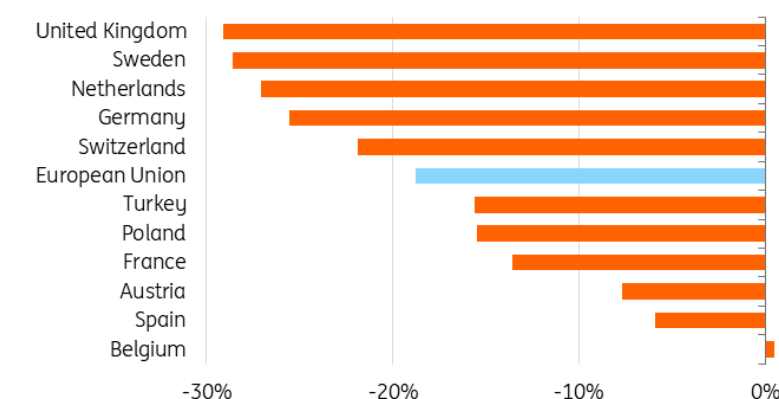
Source: Oxford Economics, ING Research

UK and Sweden frontrunners

Within Europe, the UK and Swedish building material producers stand out for having made strides in lowering their energy intensity. The UK, in particular, has taken major steps by phasing out oil and coal from production. For instance, UK Hanson Cement (part of HeidelbergCement) has sharply reduced coal use at its Ribblesdale plant and replaced it with biomass and waste derived fuel. In Sweden, reductions in energy intensity have been more evenly spread across coal, gas, and oil inputs.

UK & Sweden have seen largest decline in energy intensive building materials

Change in energy intensity per output (mtoe/ USD 2015 billions) in the building material sector, 2025 compared with 2010



Source: Oxford Economics, ING Research

Fossil fuel risks persist in building materials

The European building materials sector still faces significant challenges from higher energy costs and new market uncertainty. While the reliance on oil and coal has decreased in the last two decades, the dependency on gas has remained more or less the same. In addition, the dependency on oil hasn't decreased since 2020.

The recent uptick in building permits offers a glimmer of hope for stronger demand, but a sustained recovery will depend on greater stability in energy markets and continued innovation in sustainable production methods. Without this, rising production costs risk pushing sales prices higher which, in turn, would weigh on demand. A firm commitment to greener, less energy intensive production processes will therefore be essential for long term resilience.

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Strong US jobs rebound after winter strikes and storms

A strong rebound in employment suggests the US economy is in a decent position to weather the economic headwinds from the Middle East conflict. Nonetheless, job creation remains concentrated in a handful of sectors, and rising uncertainty and caution are likely to make employers hesitant to accelerate hiring plans



The US economy added more jobs than expected in March following a weather and strike depressed February, but the Middle East conflict risks a slowdown

178,000

 US jobs added in March

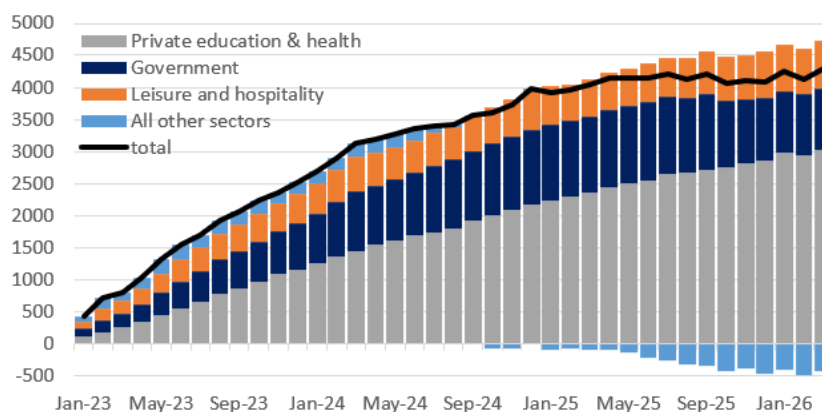
Strong growth, but with a lack of breadth

The headlines from the March US jobs report are good. Non-farm payrolls were up 178,000, well ahead of the 65,000 consensus estimate after a weather and strike-related drop of 133,000 in February. Meanwhile, the unemployment rate unexpectedly dropped to 4.3% from 4.4%. So, as with most of the data from the start of the year, it is a positive surprise and suggests that the US is

on a firm footing to take on the economic challenges posed by the Middle East conflict.

That said, we need to acknowledge that the details within the reports again show the high degree of industry concentration for where jobs are being created. Private education and healthcare posted a 91,000 increase, boosted by the return of Kaiser Permanente's 31,000 previously striking staff. This sector has accounted for 70% of all jobs added since the end of 2022. Then there were an additional 44,000 jobs in the leisure and hospitality sectors, which account for 18% of all the jobs added since the end of 2022. The federal government workforce shrank again, but government in total still accounts for 22% of the jobs added over the same period.

Contributions to cumulative employment gains since December 2022 (000s)



Source: Macrobond, ING

Now, these don't add up to 100% because all other sectors combined have lost jobs since 2022, underscoring our point about the lack of breadth to job creation. Admittedly, we did see jobs added in retail, construction and manufacturing rise in March, but this may be more down to a rebound post the winter storm disruption that contributed to non-farm payrolls falling 133k in February (initially reported as a 92k drop), rather than a return to outright hiring.

Middle East conflict poses challenges for a stalled jobs market

Despite today's better-than-expected outcome, there are only 260,000 more people in work today than 12 months ago, implying that the jobs market has effectively stalled during a period when the US growth story was healthy. Our concern is that with the Middle East conflict showing little sign of coming to an imminent conclusion, an overlay of heightened geopolitical, economic and market angst is not going to incentivise business to suddenly start hiring now. In fact, with cost pressures rising and consumer spending power being squeezed by higher gasoline prices, corporate profitability will face more challenges and runs the risk that employers will look to cost containment measures. This threatens weaker payrolls numbers in the coming months.

Next Friday's March inflation print is likely to show headline inflation jumping back up to 3.4% from 2.4% in February, but with wage growth also slowing, we don't see the demand impetus that will lead to broad, persistent inflation. Instead, the headwinds to growth and jobs mean that we still see interest rate cuts as more likely than interest rate hikes this year.

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Trump's 100% pharma tariffs will have a limited effect on the sector

On Thursday, news broke that the US will likely start levying a 100% tariff on branded pharmaceutical imports. The specifics remain unclear, but the levy is expected to be relatively narrow in scope, since many exemptions have already been negotiated. The step appears driven primarily by geopolitics, limiting the economic impact



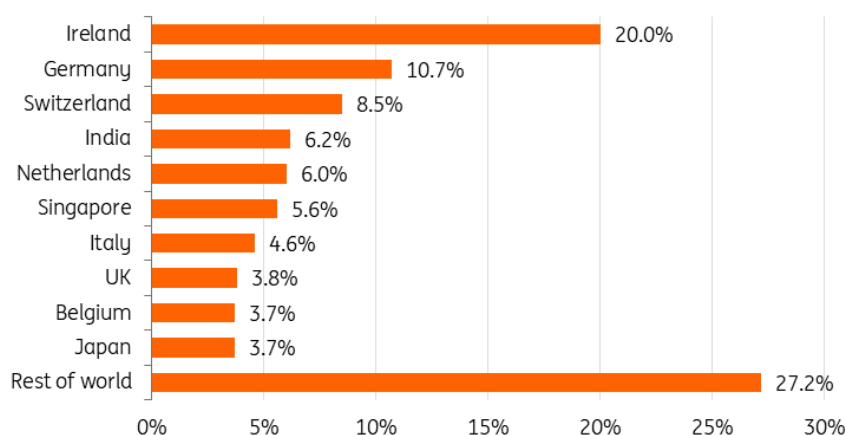
This new tariff appears driven by geopolitical considerations, limiting the economic impact

Which exemptions have already been negotiated?

We expect the 100% tariff to apply to branded pharmaceuticals for which no exemptions have been negotiated. This means tariffs on branded pharma goods imported into the US from the EU, Japan, South Korea, Switzerland, and the UK would be capped at the rates negotiated in bilateral deals. Also, 16 big pharma companies are exempt for three years after concluding deals with Trump to lower the prices of new and existing medicines under most-favoured-nation (MFN) principles. And it's likely that drugmakers now negotiating with the Department of Health and Human Services would be exempt. As such, the scope of this 100% tariff is rather limited, as evidenced by the US import figures below.

Most top exporters to the US are covered under trade deals

US imports of pharmaceutical products by country share, 2023



Source: Global Trade Tracker, LSEG Datastream; WITS; UN Comtrade; ING calculations

Why this tariff is mostly geopolitical

This leaves only companies without an MFN deal or a country-level bilateral agreement exposed to a possible 100% levy. The key countries involved include Singapore, India, and China – and only Singapore currently exports a substantial volume of branded pharmaceuticals to the US. The economic impact will therefore be negligible. Rather, the tariff is geopolitical in nature and should be seen as a shot across the bow for more intense competition between the US and China in biotech and pharma.

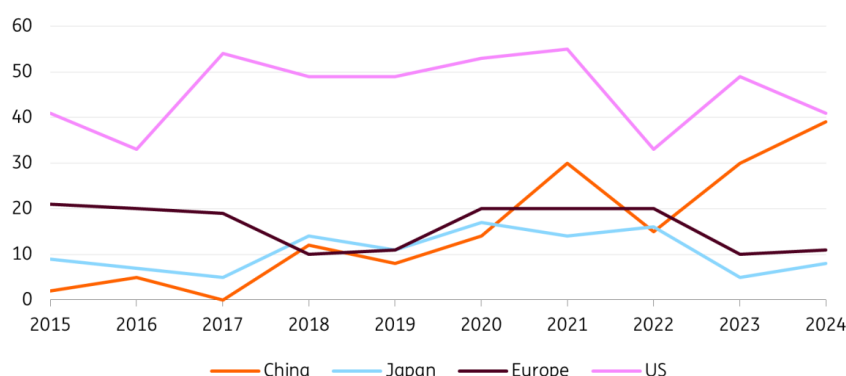
[China has developed into a biopharmaceutical innovation hub](#). We estimate that roughly one third of all new molecules in global pipelines now originate in China – up from just 4% 12 years ago. The country has surpassed Europe and is nearing the US in the number of global drug approvals. This is why we believe that the next Pfizer will be Chinese rather than American or European.

US policymakers on both sides of the aisle have realised that China is a real threat to US dominance in biopharmaceutical innovation. This is why the new tariff follows an investigation by the Commerce Department that determined certain pharmaceutical imports pose a national security risk to the US, as well as [deliberations in the House Select Committee on the CCP](#) on the threat China poses to American biopharmaceutical innovation capacity.

In short, this is a geopolitical tariff with negligible short-term economic effects. We're likely to see many more such policies in pharma, as the sector is now formally considered important to national security by US policymakers.

China is nearing the US in global drug approvals

Distribution of first global approvals of innovative drugs, 2015-24



Source: Nature publication; BMI; ING

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